



NOVA SCHOOL OF
BUSINESS & ECONOMICS

Hedge Funds

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Assignment 2: Macro Analysis & Trade Recommendations

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Disclaimer: The macroeconomic assessment and quantitative pricing models in this report reflect data and market conditions as of the last week of February 2026 and therefore do not incorporate the impacts of the subsequent geopolitical escalations.

Global Macro Analysis

Global markets in 2026 are transitioning from a period of cyclical inflation management to an era defined by structural policy uncertainty. Terminal rate pricing and CPI prints across the G7 project a superficial stabilisation, and global GDP growth moderates following a resilient 2025 (IMF, 2026). However, the underlying economic landscape is fragmented. Markets are navigating an unusually dense cluster of geopolitical and policy risks - driven by aggressive US trade protections - resulting in highly unbalanced regional capital flows and a shift in monetary leadership.

US Policy Shift & The "America First" Inflationary Shock:

Following the legal defeat of previous tariffs, the US administration rapidly implemented a new framework sitting at a 10% global baseline, signalling towards a 15% cap (White & Case, 2026). Furthermore, the administration is pushing for the nomination of Kevin Warsh to Federal Reserve Chair, with prediction markets (*Figure 1*), placing the odds that Powell will leave office by May at $\approx 90\%$. Warsh, as a strict critic of Quantitative Easing (QE), is unlikely to use the Fed balance sheet to buy long-term bonds and suppress yields if market stress arises. Juxtaposed with executive pressure to lower short-term benchmark rates, the result is a violently steepening yield curve (Saxo Bank, 2026). This combination of fiscal protectionism and shifting monetary mechanics is destabilising for export-heavy regions reliant on free trade and dollar liquidity, creating massive structural imbalances across emerging markets.

Asian Capital Flows & Monetary Divergence:

This divergence is acutely visible in Asian capital flows, where South Korea perfectly encapsulates the tension between booming tech exports and domestic vulnerability. The economy is dangerously unbalanced, propped up by a record \$123.05 billion current account surplus driven almost entirely by AI memory semiconductor exports. Conversely, massive capital outflows from Korean retail investors, colloquially known as "Seohak ants", who hold a record \$171.8 billion in US equities, are draining domestic liquidity and applying severe downward pressure on the Won (Korea Times, 2026). The Bank of Korea recently held its benchmark rate at 2.5% and raised its 2026 growth forecast, effectively signalling an end to its easing cycle to defend the currency (ING, 2026). This artificial stabilisation is fundamentally unsustainable. The BoK burned through \$2.6 billion of its reserves in December alone, pushing the ratio of short-term external debt to reserves to a concerning 41.8% (Ministry of Finance, 2026). Furthermore, the government's commitment to divert foreign currency reserve profits to fund a \$20 billion annual US investment structurally weakens the BoK buffer. To combat the massive retail outflows, authorities launched designated Reshoring Investment Accounts in February 2026, offering a one-year exemption from the 20% capital gains tax to repatriate retail funds. If a US tech market correction occurs or the tax incentives succeed, a massive unhedged capital rotation back to Seoul will trigger violent currency appreciation. Conversely, if US tariffs expand to target Korean chips, the trade surplus evaporates instantly, and the KRW collapses.

Geopolitical Tail Risks & The Safe-Haven Illusion:

Beyond localised trade impacts, prediction markets continue to price elevated global geopolitical stress. Tensions in the Middle East run hot (US strike by March 4th at 78%), and the Russia-Ukraine war shows little sign of genuine resolution, ensuring that geopolitical uncertainty remains a continuous feature of the global outlook. Yet, markets have largely shrugged off the geopolitical noise, with US equities decoupling from headline risk in a way that would have seemed unlikely in prior cycles. The reality is simple: at the moment, there is no credible alternative to the US as the centre of global capital, technology, and innovation, and that is not changing on any meaningful investment horizon. Yes, the dollar faces de-dollarisation headwinds and BRICS payment workarounds, but none come close to matching the liquidity depth and institutional trust required to genuinely displace it. Erosion at the edges is real, wholesale replacement is not. This makes the franc's current safe-haven premium look increasingly mispriced, and with USD/CHF sitting at the lower bound of its multi-year historical range, the asymmetry points clearly to the upside.

Trade Recommendations

Introduction:

Translating our macro outlook into actionable ideas, we identify a critical flaw in current FX derivatives pricing. As well documented in the charts we'll provide, markets are projecting historical calm into a future defined by severe regime shifts. Because options are currently anchoring to suppressed realized volatility, the insurance premium against our projected shocks is significantly cheap. The following two trades are constructed to deliver a highly biased risk/return profile while strictly defining our maximum loss to the premium paid.

Trade 1: Long Strangle USD/KRW:

Current Derivatives pricing for the USD/KRW exchange rate reveals a misguided market sentiment. Despite the alternative data and geopolitical catalysts aforementioned pointing to a violent repricing, the options market is currently pricing in near-historic stability. Our internal quantitative model was built using Covered Interest Parity (CIP) frameworks to extract the implied yield differential between the US and South Korea. It highlights that volatility currently (25 Feb) ranks in the bottom 12% over a 5-year lookback (*Figure 2*), indicating a period of extreme predictability. Furthermore, current Bloomberg pricing for USD/KRW 3-month ATM volatility shows a level hovering exactly around the historical average (*Figure 3*). In a conventional macroeconomic cycle, an average volatility reading would suggest that options are fairly priced. However, against the backdrop of an impending, bimodal geopolitical shock, this level suggests that the market is structurally ignoring tail risk. This depression in implied volatility is not fundamental; it is an artificial construct driven by the Bank of Korea aggressively intervening to suppress currency fluctuations.

The KRW is in a coiled spring state. To exploit this, without taking a directional guess, we recommend a Long Strangle. This structure allows us to strictly cap our downside to the premiums paid (if BoK holds the line) while maintaining unlimited upside on a severe, binary market moves: The Call leg captures the "America First" inflationary shock. If the impending blanket US tariffs and a shifting Federal Reserve spark massive dollar strength and erode the Korean trade surplus, this leg quickly moves in-the-money. The Put leg captures the opposing force of domestic capital repatriation. Should the new Reshoring Investment Accounts succeed in pulling back the record retail holdings currently parked in US equities, an unhedged rotation will trigger violent Won appreciation.

Because these impending macroeconomic catalysts are highly binary and extreme in nature, the current market pricing simply does not reflect the true magnitude of these tail risks. Capitalising on this collective market complacency provides a highly skewed opportunity. By purchasing optionality at these artificially suppressed levels, we gain asymmetric, convex exposure from the expected structural break.

Trade 2: Long Call USD/CHF:

Investors have crowded into the Swiss Franc due to global uncertainties, compressing the exchange rate to its historical lower bound. This defensive positioning ignores the unmatched liquidity and structural dominance of the US dollar. Expecting a sharp reversion toward the historical midpoint once these temporary flows normalise, we recommend a 3-month Long USD/CHF Call Option (ATM Strike: 0.7668) to exploit this profound directional mispricing. A glaring divergence between surface options pricing and fundamental interest rate dynamics justifies our entry. While the forward curve reflects a massive yield spread, USD SOFR at 3.666% versus an implied CHF deposit rate of -0.206%, standard Bloomberg pricing shows 3-month ATM Implied Volatility compressed at just 7.64% (*Figure 4*). As our attached charts demonstrate, Bloomberg IV only captures the recent stagnation in daily spot prices. Conversely, our Python model evaluates the implied volatility of the yield differential itself (*Figure 3*), revealing that market makers are projecting recent spot calm into the future and completely failing to price the macroeconomic tension masked by Swiss Franc hedging. Because the market assumes current geopolitical anxiety will persist indefinitely, the Call option premium is exceptionally cheap at approximately 1.55% of the notional value. Our downside is strictly capped to this initial premium, allowing us to secure uncapped directional upside tied to US economic fundamentals and exploit a derivatives market completely detached from macroeconomic reality.

Appendix:

Table 1: Policies introduced in December 2025 alone, to control rising USD/KRW FX rates

Policy	Announcement Date	Content
Submission of Foreign Exchange Conversion Details by Export Companies	01/12/2025	Policy to encourage export companies to convert earned dollars into KRW in order to increase dollar supply in the foreign exchange market
Amendment of the NPS Foreign Currency Bond Act	08/12/2025	Review of issuing Foreign Currency Bonds by NPS
Extension of NPS FX Swap with BoK with a Limit of \$65 Billion	15/12/2025	Agreement to extend FX swap transactions with NPS and BOK up to \$65 billion until the end of 2026
Mitigation of Supervisory Burden for Advanced Foreign Currency Liquidity Stress Tests	18/12/2025	Temporary suspension of supervisory burden for FX liquidity stress tests until June 2026
Adjustment of FX Forward Position System	18/12/2025	Reduction of Forward FX position ratio regulation for foreign exchange banks, lowering the limit for foreign bank branches from 375% to 200%
Expansion of Permission on Foreign Currency Loans for Residents	18/12/2025	Easing restrictions on foreign currency loans for KRW use to residents, allowing additional loans for domestic companies and working capital of export companies
Activation of Omnibus Accounts for Foreign Investors	18/12/2025	Activation of integrated omnibus accounts for foreign investors by removing restrictions on account opening entities
Clarification of Professional Investor Status for Foreign Companies Listed Overseas	18/12/2025	Recognition of foreign companies listed overseas as professional investors to reduce FX and financial market uncertainty and promote inflow of foreign currency funds
Temporary Suspension of FX Stabilization Fee	19/12/2025	Plan to temporarily exempt financial institutions from FX stability levy for six months (Jan-Jun 2026)
Temporary Implementation of Interest on FX Reserve Requirements	19/12/2025	Plan to pay interest on excess FX reserve deposits held by financial institutions for six months (Jan-Jun 2026)
FX Market Stabilization Measures	24/12/2025	FX authorities conducted verbal intervention in the market, issuing a stabilization message
Tax Exemptions on Reshoring Investment Accounts	24/12/2025	Exempts capital gains tax within limits and offers additional relief based on repatriation timing when investors sell overseas stocks by Dec. 23, 2025
FX Forward Hedging for Individual Investors with Capital Tax Incentives	24/12/2025	An initiative offering capital gains tax benefits to individual investors who hedge currency risk on overseas stock holdings through FX forward contracts, aiming to reduce exchange rate volatility and support foreign exchange market stability
Increase in Tax-Exempt Dividend Deduction Rate for Overseas Subsidiary Income	24/12/2025	A policy to raise the tax-exempt inclusion rate for dividends received from overseas subsidiaries from 95% to 100%, aiming to encourage repatriation of foreign earnings for domestic investment

Figure 1: Market Implied Odds for Trump's Fed Chair nominee (Source: Polymarket)

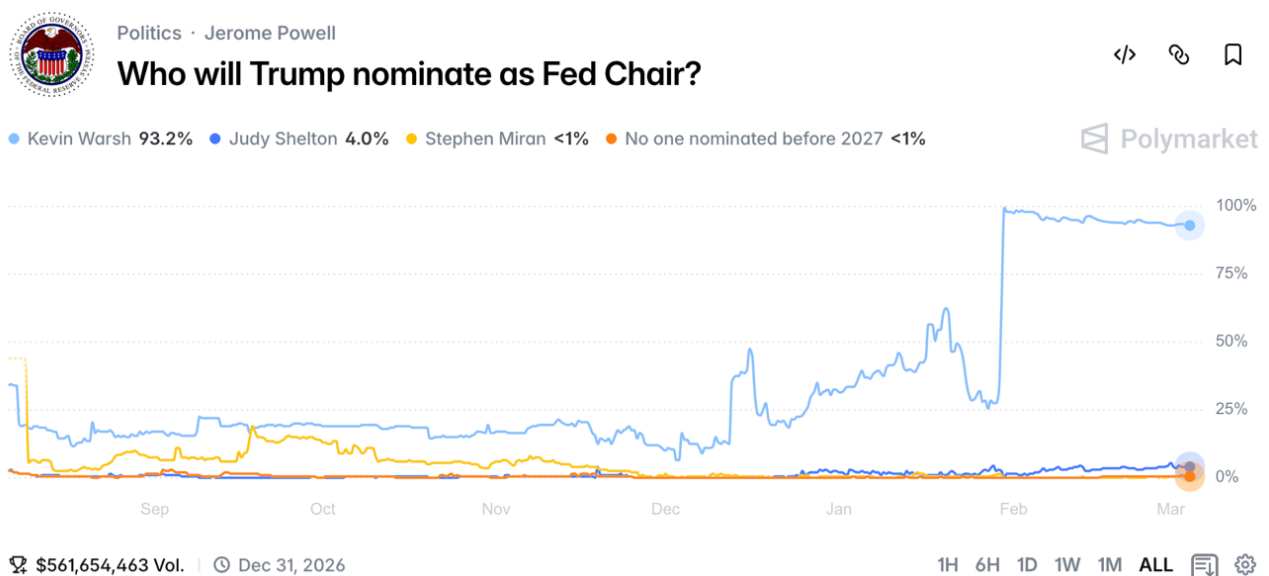


Figure 2: USD/KRW 3 Months Forward Implied Yield Differential Volatility

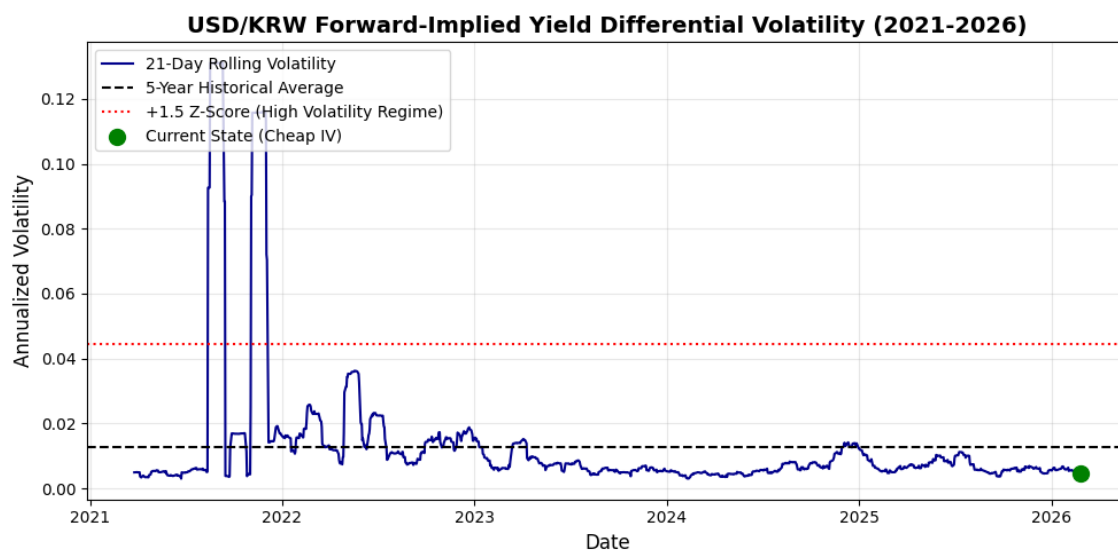


Figure 3: USD/KRW 3 Months At The Money (ATM) Option Implied Volatility (Source: Bloomberg)



Figure 4: USD/CHF 3 Months Forward Implied Yield Differential Volatility

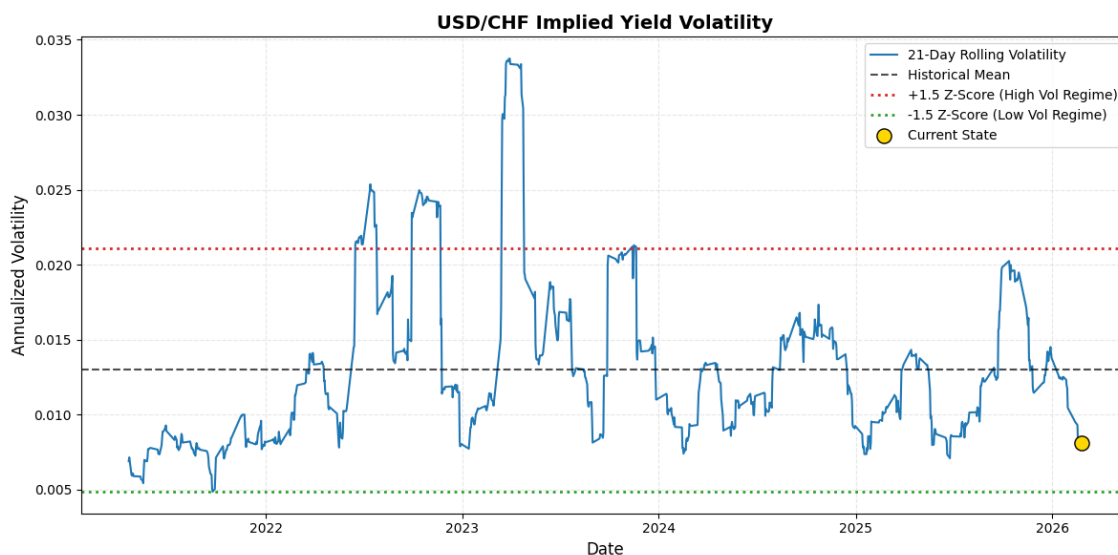


Figure 5: USD/CHF 3 Months At The Money (ATM) Option Implied Volatility (Source: Bloomberg)



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